

Warby Parker

NYSE : WRBY \$2.95B mkt cap · 123M sh · \$286M cash, zero debt · Net cash +\$286M (no debt); ~122.7M shares; SBC ~5% of revenue (~\$12M/qtr), a live · Mature- dilution drag; Revenue \$872M FY25 (+13%); GAAP op margin -0.6% (still a small loss); FCF +\$30M (~3%); adj EBITDA ~12.2%; ~\$26, up Company DCF ~13-16% YTD, 52-wk \$14.96-\$31.00; added to S&P SmallCap 600 (Jun 2026); ~3x sales

\$24.08

THE CENTRAL QUESTION

Does store-led scale finally drive Warby Parker's EBITDA margin from ~12% toward high-teens/20% with durable GAAP profit and FCF — or stay a thin-margin, decelerating brand priced for an inflection?

Warby Parker trades at ~\$3.25B (~\$26.46, up ~13-16% YTD) — ~3x sales on \$872M revenue growing ~13%, net cash, but only a ~12% adj-EBITDA margin and razor-thin GAAP profit. The bull is store-led operating leverage finally lifting EBITDA toward high-teens/20% as the unit base scales from 323 toward ~900-1,000+, plus a Google AI-smart-glasses call-option outside guidance; the bear is decelerating customer growth (+4.8%), gross-margin compression, and the inflection never arriving. At ~3x sales the price already embeds the ramp, so the weighted finding is -42.1% and the modal case lands -43%.

PROBABILITY-WEIGHTED EXPECTED VALUE

\$15.33 expected fair value today
-36.3% vs spot \$24.08

FORWARD COMPOUNDED VALUE

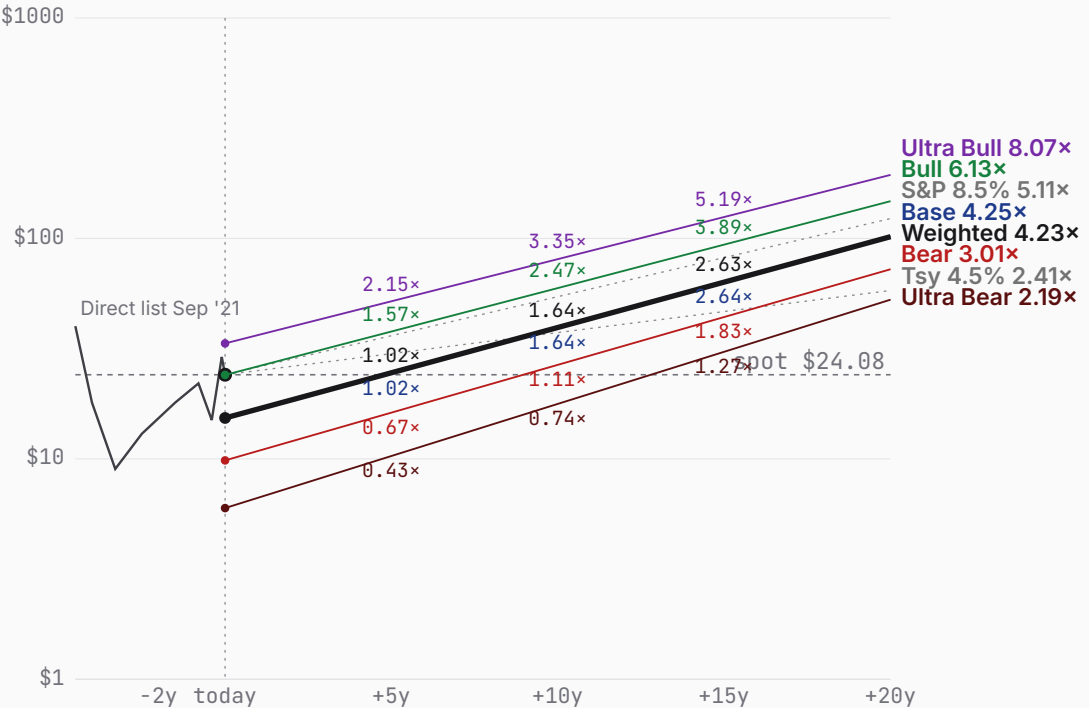
+5y	+10y	+15y	+20y
\$24.58	\$39.45	\$63.37	\$101.86
1.02x spot	1.64x spot	2.63x spot	4.23x spot

WEIGHTING RATIONALE

- Ultra Bear 15% Growth stalls; margin never inflects; ~\$5.98 (-77%).
- Bear 27% Stores grow but leverage crawls; ~\$9.84 (-63%).
- Base 33% Runway continues; margin grinds to ~11%; ~\$15.20 (-43%).
- Bull 17% Leverage inflects + glasses optionality; ~\$24.03 (-9%).
- Ultra Bull 8% Full inflection + glasses second act; ~\$33.41 (+26%).

Bull (17%) + Ultra Bull (8%) together contribute \$6.76 — 44% of the \$15.33 expected value despite 25% combined probability. Today's spot (\$24.08) sits 57% above the weighted expected; forward-weighted value crosses spot between +5y and +10y.

PRICE + PROJECTIONS · HISTORICAL THROUGH PROBABILITY-WEIGHTED FORWARD



ULTRA BEAR	\$5.98	BEAR	\$9.84	BASE	\$15.20	BULL	\$24.03	ULTRA BULL	\$33.41
	-75.2% vs spot		-59.1% vs spot		-36.9% vs spot		-0.2% vs spot		+38.7% vs spot
CAGR +4.0% WACC 11.5% CAGR +4.0% Prob 15%		CAGR +7.2% WACC 10.5% CAGR +7.2% Prob 27%		CAGR +9.8% WACC 10.0% CAGR +9.8% Prob 33%		CAGR +12.0% WACC 9.5% CAGR +12.0% Prob 17%		CAGR +14.2% WACC 9.2% CAGR +14.2% Prob 8%	
Growth stalls; margin never inflects.		Stores grow; leverage comes slowly.		Runway continues; margin grinds to ~11%.		Leverage inflects to ~15%; glasses optionality.		Full inflection + glasses second act.	

PROBABILITY WEIGHTS

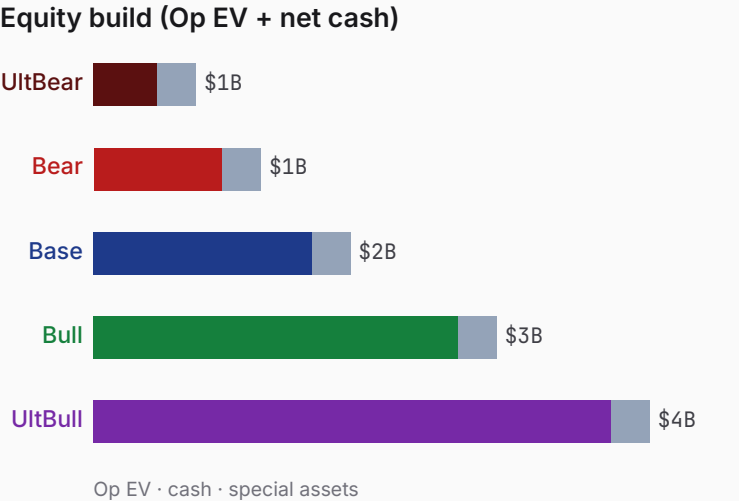
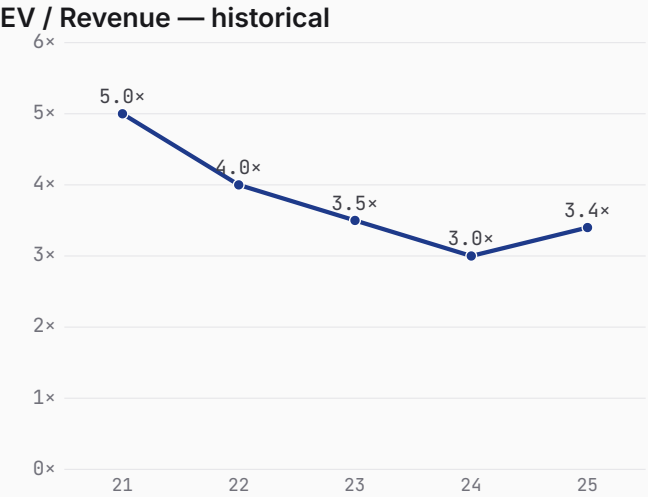
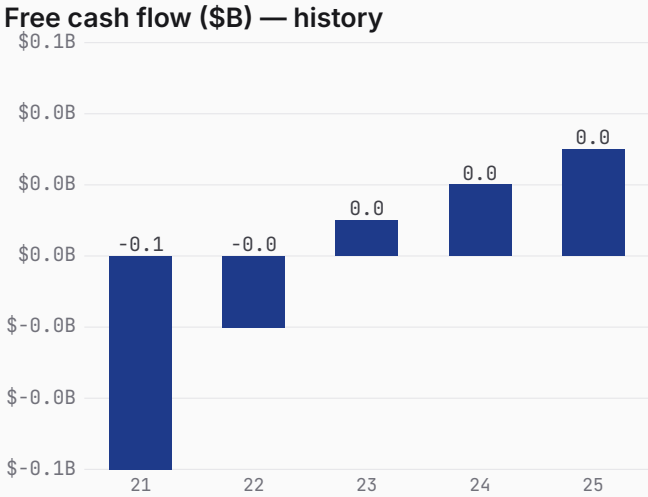
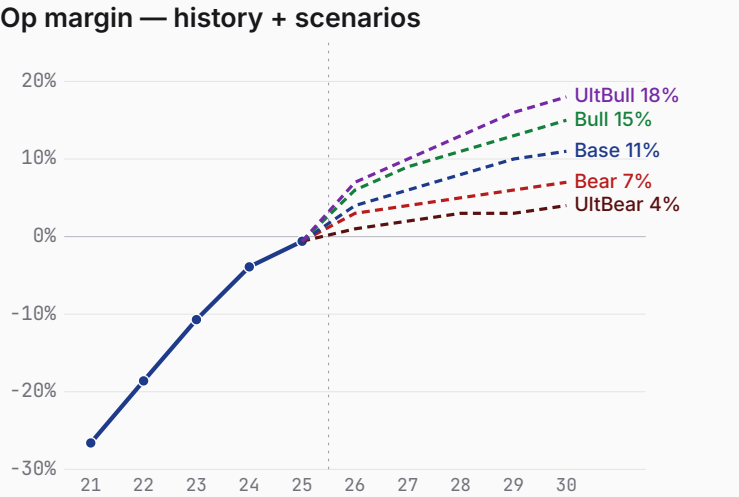
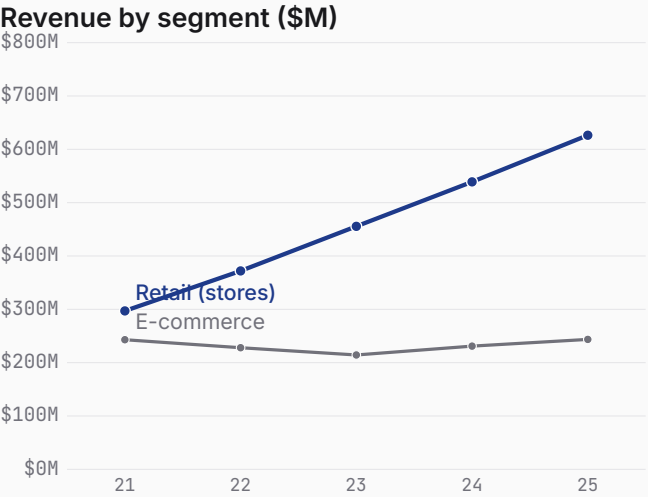
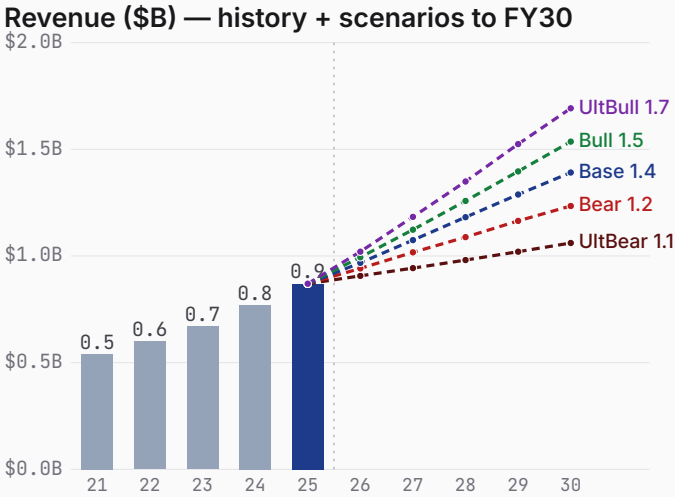
Ultra Bear 15% Bear 27% Base 33% Bull 17% Ultra Bull 8% · Weighted expected \$15.33 (-36.3% vs spot)

ULTRA BEAR	\$5.98	BEAR	\$9.84	BASE	\$15.20	BULL	\$24.03	ULTRA BULL	\$33.41
	-75.2% vs spot		-59.1% vs spot		-36.9% vs spot		-0.2% vs spot		+38.7% vs spot
Probability 15%		Probability 27%		Probability 33%		Probability 17%		Probability 8%	
Growth stalls; margin never inflects.		Stores grow; leverage comes slowly.		Runway continues; margin grinds to ~11%.		Leverage inflects to ~15%; glasses optionality.		Full inflection + glasses second act.	
WHY 15%		WHY 27%		WHY 33%		WHY 17%		WHY 8%	
The genuine bear: active-customer growth is already only +4.8% TTM, gross margin slipped to 54.0% from 56.3%, and GAAP profit is a few million dollars that easily flips negative. 15% on the inflection never showing up.		Units and revenue grow but the capital and SBC intensity keep margins suppressed — the plausible 'grows but doesn't lever' path given the customer-growth deceleration. 27% weight.		Requires the store-led leverage to show up and FCF to scale as cohorts mature — consistent with the FY26 ~12% EBITDA guide and the new-store economics, but not a step-change. 33% as the central outcome, still ~43% from a price that pre-pays the ramp.		The Wingstop-style 'leverage finally shows up' path plus a maturing store base make a real EBITDA inflection credible; the glasses add free optionality. ~17% weight on the inflection landing.		Margins AND units AND revenue/customer AND the glasses optionality all land — the long-duration tail where the price's embedded inflection actually arrives and then some. ~8%.	
WHAT HAPPENS		WHAT HAPPENS		WHAT HAPPENS		WHAT HAPPENS		WHAT HAPPENS	
Customer growth keeps decelerating below ~+5%, the model leans on price not new buyers, gross margin compresses further from 54%, and the operating leverage never arrives: EBITDA stays mired near ~12% while GAAP stays at a small loss/breakeven and FCF margin crawls 2-5%. SBC dilution offsets what little cash is generated.		Stores keep opening (~50/yr) and revenue compounds ~7% toward ~\$1.2B, but operating leverage is grudging: EBITDA inches up while gross-margin pressure and SBC keep GAAP profit thin and FCF margin near 7%. The unit runway is real; the margin step-change is not.		The modal path: the store base compounds low-double-digit toward ~900-1,000 units, holistic vision (eye exams, insurance/HSA, contacts) lifts revenue/customer, and operating margin grinds from ~0% toward ~11% with FCF margin reaching ~10% as new-store cohorts mature. Revenue compounds ~10% to ~\$1.4B.		Store-led operating leverage finally lands: a maturing unit base drives EBITDA toward the high-teens, gross margin stabilizes, GAAP profit turns durable and FCF margin reaches ~13% — and the Google Android XR / Gemini AI-smart-glasses program (a free, \$150M-committed call-option outside guidance) starts to read as a credible Meta-Ray-Ban competitor. Revenue compounds ~12% to ~\$1.5B.		Everything works: the unit machine marches toward multi-thousand US TAM, operating margin reaches ~18% with FCF margin ~16%, holistic vision compounds revenue/customer, and the Google AI-glasses partnership becomes a real second revenue stream rather than a call-option. Revenue compounds ~14% to ~\$1.6B at a premium-brand multiple.	
A decelerating, thin-margin brand that never inflects earns ~2x sales and a low-double-digit EBITDA multiple - > DCF ~\$5.98 (-77%). Net cash sets a floor, but at ~3x sales today the downside if the inflection fails is severe.		DCF ~\$9.84 (-63%) — a single-digit grower whose EBITDA only crawls toward the mid-teens is worth well below ~3x sales; the market's premium assumes a faster inflection than this path delivers.		DCF ~\$15.20 (-43%) — a genuine unit runway and a real margin grind, but at ~3x sales today the price already embeds that ramp; the modal case at a ~16x EBITDA multiple lands well below spot. The market is paying for the inflection in advance.		DCF ~\$24.03 (-9%) — if the margin inflection arrives, the de-rate-to-fair math nearly closes the gap to spot; this is the core of the bull, and it still does not clear today's price on the fundamentals alone.		DCF ~\$33.41 (+26%) — the only scenario that clears spot: a true margin inflection plus the glasses second act re-rate the brand. ~8% probability, the asymmetric upside the rich entry is buying.	

Warby Parker business snapshot

Bear \$9.84 Base \$15.20 Bull \$24.03

FY21-FY25 history + FY26-FY30 scenario projections · fiscal years end late Dec · Q1 FY2026 results + FY26 guidance



Sources: SEC XBRL company facts (CIK 1504776), Warby Parker Q1 FY2026 release (revenue \$242.4M/+8.3%, 2.69M active customers/+4.8% TTM, revenue/customer \$331, gross margin 54.0%, adj EBITDA \$29.6M/12.2%), FY26 guide (\$959-976M revenue, ~12.2% adj EBITDA), 323 stores end-2025 (+47), Google Android XR / Gemini glasses partnership (\$150M, not in guidance). FCF = revenue x FCF margin; Gordon terminal at scenario WACC. EV/sales & EV/EBITDA vs EssilorLuxottica, National Vision.

Warby Parker 7 Powers · the moat, scored

Bear \$9.84 Base \$15.20 Bull \$24.03

Arena. Eyewear / premium consumer DTC — Warby Parker (vertically-integrated DTC brand, ~323 stores + e-commerce, ~4% US eyewear share) vs EssilorLuxottica (Ray-Ban/LensCrafters/Sunglass Hut), National Vision, Zenni/EyeBuyDirect, and the optical-retail incumbents; auditing a brand Power + a nascent vertical-integration process edge against a dominant incumbent and a thin margin.

POWER AUDIT
dominant-power durability: medium

POWER AUDIT · 7 POWERS

Scale Economies 	Vertical integration (in-house design, lens labs, optometry) gives a nascent cost/process edge, but tiny vs EssilorLuxottica's global manufacturing/retail scale.
Network Economies 	None — eyewear isn't a network; the app and Virtual Try-On are channels, not network effects.
Counter-Positioning 	Was the DTC disruptor that undercut the EssilorLuxottica markup; now part-incumbent with its own stores, so the counter-position is narrowing.
Switching Costs 	Weak — eyewear is a periodic, promiscuous purchase; holistic vision (exams/insurance) builds modest stickiness but no lock-in.
Branding · thesis leans here 	The dominant Power: a genuine premium DTC brand (design, price-transparency, Buy-a-Pair-Give-a-Pair) with pricing power — but a brand alone doesn't convert to EBITDA while margins are thin.
Cornered Resource 	In-house design/lens-lab capability + store locations; valuable but not truly cornered.
Process Power 	Emerging: vertically-integrated retail + holistic-vision playbook and new-store economics; unproven at the scale the inflection needs — the bull's swing factor.

PEER SET

EssilorLuxottica The dominant incumbent — global lens manufacturing + Ray-Ban/LensCrafters/Sunglass Hut retail + the Meta smart-glasses partner Warby's Google glasses must beat.	7% gr · 18% mgn · ~28x P/E
National Vision (EYE) Value optical-retail operator (America's Best/Eyeglass World); the mass-market, capital-intensive store comp.	5% gr · 4% mgn · ~25x EV/EBITDA
Zenni / EyeBuyDirect Ultra-low-price online eyewear; the price-led share threat as Warby leans more on price than new customers.	· private
Meta x EssilorLuxottica (Ray-Ban) The AI-smart-glasses leader already in market — the competitor Warby's Google/Gemini program is chasing, not leading.	· part of EL

THREAT VECTORS · FALSIFIERS

Branding · Zenni/EyeBuyDirect + value optical (price-led share) falsifier: Active-customer growth turns price-led and decelerates below ~+4% while gross margin compresses below ~53%.
Process Power · Capital intensity + SBC (the margin inflection) falsifier: Adj-EBITDA margin stays stuck near ~12% for 2+ years while FCF margin stalls near 5% — leverage never shows up.
Counter-Positioning · Meta-EssilorLuxottica AI glasses falsifier: The Google/Gemini glasses slip or launch behind Ray-Ban Meta, so the optionality the bull/ultra-bull rely on fails to read as a real competitor.

COMPETITIVE READ

Warby Parker's brand Power is genuine — a premium, vertically-integrated DTC eyewear name with real pricing power and a nascent process edge from in-house design/lens labs/optometry — but a brand does not convert to free cash flow while the adjusted-EBITDA margin sits near ~12% and GAAP profit flips between a few million dollars and breakeven. The Audit: branding is durable (medium), process_power (store-led vertical integration) is the emerging swing factor, and the live threats are capital/SBC intensity capping the margin inflection plus price-led share loss to Zenni/value optical; the Google AI-glasses program is upside optionality, not the base, and it chases a Meta-EssilorLuxottica leader. At ~3x sales the price already embeds the margin ramp and some of the glasses optionality, so the weighted DCF is -42.1% and the modal case lands -43% — only the ultra-bull's full inflection-plus-second-act clears spot.

Warby Parker show your work

Bear \$9.84 Base \$15.20 Bull \$24.03 · Weighted \$15.33 (-36.3%)

ULTRA BEAR\$5.98					BEAR\$9.84					BASE\$15.20					BULL\$24.03					ULTRA BULL\$33.41				
ASSUMPTIONS					ASSUMPTIONS					ASSUMPTIONS					ASSUMPTIONS					ASSUMPTIONS				
5y revenue CAGR (%)					+4.0					+7.2					+9.8					+12.0				
Year-5 op margin (%)					4.0					7.0					11.0					15.0				
WACC (%)					11.5					10.5					10.0					9.5				
Terminal growth (%)					2.5					3.0					3.0					3.5				
Terminal FCF (\$B)					\$0.05B					\$0.09B					\$0.14B					\$0.20B				
Starting revenue (\$B)					0.87					0.87					0.87					0.87				
Scenario probability (%)					15					27					33					17				
5-YEAR DCF · \$B					5-YEAR DCF · \$B					5-YEAR DCF · \$B					5-YEAR DCF · \$B					5-YEAR DCF · \$B				
FY	Rev	Margin	FCF	PV FCF	FY	Rev	Margin	FCF	PV FCF	FY	Rev	Margin	FCF	PV FCF	FY	Rev	Margin	FCF	PV FCF	FY	Rev	Margin	FCF	PV FCF
FY26	0.91	+1%	+0.02	+0.02	FY26	0.94	+3%	+0.04	+0.03	FY26	0.97	+4%	+0.05	+0.04	FY26	0.99	+6%	+0.07	+0.06	FY26	1.02	+7%	+0.08	+0.07
FY27	0.94	+2%	+0.03	+0.02	FY27	1.02	+4%	+0.05	+0.04	FY27	1.07	+6%	+0.07	+0.06	FY27	1.12	+9%	+0.10	+0.08	FY27	1.18	+10%	+0.13	+0.11
FY28	0.98	+3%	+0.04	+0.03	FY28	1.09	+5%	+0.07	+0.05	FY28	1.18	+8%	+0.10	+0.07	FY28	1.26	+11%	+0.14	+0.10	FY28	1.35	+13%	+0.17	+0.13
FY29	1.02	+3%	+0.04	+0.03	FY29	1.16	+6%	+0.08	+0.05	FY29	1.29	+10%	+0.12	+0.08	FY29	1.40	+13%	+0.17	+0.12	FY29	1.52	+16%	+0.23	+0.16
FY30	1.06	+4%	+0.05	+0.03	FY30	1.23	+7%	+0.09	+0.05	FY30	1.39	+11%	+0.14	+0.09	FY30	1.54	+15%	+0.20	+0.13	FY30	1.69	+18%	+0.27	+0.17
Σ PV explicit FCF					+0.12					Σ PV explicit FCF					Σ PV explicit FCF					Σ PV explicit FCF				
+ PV terminal (g 2.5%)					0.35					+ PV terminal (g 3.0%)					+ PV terminal (g 3.5%)					+ PV terminal (g 3.5%)				
EQUITY BUILD · \$B & PER SHARE					EQUITY BUILD · \$B & PER SHARE					EQUITY BUILD · \$B & PER SHARE					EQUITY BUILD · \$B & PER SHARE					EQUITY BUILD · \$B & PER SHARE				
Operating EV					\$0.47B					Operating EV					Operating EV					Operating EV				
+ Cash & investments					\$0.29B					+ Cash & investments					+ Cash & investments					+ Cash & investments				
= Equity value					\$0.76B					= Equity value					= Equity value					= Equity value				
FY30 shares (M)					127					FY30 shares (M)					FY30 shares (M)					FY30 shares (M)				
= Expected per share					\$5.98					= Expected per share					= Expected per share					= Expected per share				
FUTURE FAIR VALUE · IF SCENARIO PLAYS OUT					FUTURE FAIR VALUE · IF SCENARIO PLAYS OUT					FUTURE FAIR VALUE · IF SCENARIO PLAYS OUT					FUTURE FAIR VALUE · IF SCENARIO PLAYS OUT					FUTURE FAIR VALUE · IF SCENARIO PLAYS OUT				
+5y	+10y	+15y	+20y		+5y	+10y	+15y	+20y		+5y	+10y	+15y	+20y		+5y	+10y	+15y	+20y		+5y	+10y	+15y	+20y	
\$10.31	\$17.76	\$30.61	\$52.75		\$16.21	\$26.71	\$44.00	\$72.48		\$24.48	\$39.42	\$63.49	\$102.26		\$37.83	\$59.55	\$93.75	\$147.58		\$51.88	\$80.56	\$125.09	\$194.24	
0.43×	0.74×	1.27×	2.19×		0.67×	1.11×	1.83×	3.01×		1.02×	1.64×	2.64×	4.25×		1.57×	2.47×	3.89×	6.13×		2.15×	3.35×	5.19×	8.07×	

Warby Parker

People · Opportunity · Context · Deal

Bear \$9.84 Base \$15.20 Bull \$24.03

Underwrite the position the way a venture investor underwrites a round — across all four legs, public or private. **People** is the leg scored here (observable only); Opportunity, Context and Deal cross-reference the rest of the memo.

PEOPLE · WHO RUNS / OWNS / FUNDS IT

Neil Blumenthal & Dave Gilboa (co-CEOs) · founder-led

15 yrs in seat

18%insider ownership

MEDIUMkey-person risk

Capital allocation (realized)
Co-founders Neil Blumenthal and Dave Gilboa have run Warby Parker as co-CEOs since 2010 (and are co-chairs of the board). FY2025 was the first full GAAP-profitable year (+\$1.6M), on ~\$872M revenue (+13%) and a net-cash balance sheet (~\$286M, no debt). Capital return just began — a first-ever \$100M buyback (Feb 2026), no dividend. A new Google/Samsung smart-glasses partnership brings up to \$75M of product-development funding plus an optional up-to-\$75M equity investment.

Incentive alignment
The co-CEOs are modestly paid (~\$1.5M each, FY2024) with long-term incentives tied to multi-year stock-price hurdles. Their alignment is the founding stake; insider trading is programmatic 10b5-1 selling, no open-market buying. A seasoned external CFO (ex-Macy's) was added in early 2026, deepening the bench.

GOVERNANCE FLAGS

- multi-class super-voting: Class B = 10 votes per share (founders); the co-founders together hold ~48% of the vote on a smaller economic stake — significant but below a majority
- co-CEO structure, and the co-CEOs are also co-chairs of the board (combined Chair/CEO) — mitigated by a lead independent director (Ronald Williams)
- a fixed dual-class sunset (Oct 2031), plus transfer and death/disability triggers — a real positive vs. no-sunset peers
- classified / staggered board (three classes) — an entrenchment feature
- 7 of 9 directors independent; below the 50% controlled-company threshold (does not appear to rely on controlled-company exemptions)

PEOPLE READ

Dual-class super-voting with the co-founders also serving as co-chairs caps it below the clean tier, but it is a solid 3: the founders hold ~48% of the vote (below a controlling majority, so not a controlled company), there is a fixed 2031 sunset (which most dual-class names lack), a 7-of-9 independent board with a lead independent director, and the company just turned profitable with its first buyback. Key-person risk is moderate — dependence on the two-founder partnership, but split across two people with a professionalized bench.

THE FOUR LEGS

People

observable composite · 1–5

Opportunity

The scenario distribution · the business snapshot · the Arthur Indicator

Context

The 7 Powers analysis (Power Audit)

Deal

Open-market common — entry price weighed against the probability-weighted fair value (the -42.1% finding) + position sizing.

Warby Parker supporting analysis · disclaimers · glossary

Bear \$9.84 Base \$15.20 Bull \$24.03

PUSHBACK · WHY THE BASE CASE IS TOO HARSH

- 1 **At ~3x sales the price already embeds the margin ramp.**
The weighted DCF is -42.1% and the modal base is -43% — only the ultra-bull (+26%) clears spot; the inflection is pre-paid, not a free upside.

4 **Gross-margin compression is the watch-item.**
Gross margin fell to 54.0% from 56.3% and GAAP profit is a few million dollars; thin profitability plus SBC dilution is what 'never inflects' looks like.
- 2 **The Google glasses are a genuine free call-option.**
\$150M committed, Android XR + Gemini, NOT in 2026 guidance — credible optionality, but it lives only in the bull/ultra-bull.

5 **Net cash, p_fail ~0.**
\$286M cash, no debt — no solvency risk; the downside here is multiple/margin (the inflection failing), not survival.

- 3 **Stores are the engine and the economics work.**
323 stores end-2025 (+47), guiding ~50 more in 2026 at profitable economics; the ~900-1,000+ unit runway must convert to EBITDA.

FALSIFICATION TRIGGERS

Bull validation

adj-EBITDA margin expands above ~14-15% · active-customer growth re-accelerates above +5-6% · gross margin recovers toward 56% · Google AI-glasses ship as a real Meta-Ray-Ban competitor

Bear validation

customer growth decelerates below ~+4% / turns price-led · gross margin compresses below ~53% · GAAP turns back to a loss and FCF margin stalls near 5% · glasses slip

Reframe needed

if EBITDA margin stays stuck near ~12% for 2+ years while customer growth fades, the inflection thesis breaks — re-rate the terminal toward a thin-margin specialty retailer, not a premium-brand compounder

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Forward-looking statements.

Scenarios, valuations, projections, and any forward-looking statements involve substantial assumptions and uncertainty. Actual results may differ materially from those projected. Past performance is not indicative of future results. The model is a model; reality is not.

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GLOSSARY · CONCEPTS REFERENCED IN THE NARRATIVE

Active customers — Trailing-12-month buyers (2.69M, +4.8% TTM); the demand gauge — decelerating growth, increasingly price- not customer-led, is the central bear signal.

Revenue per customer — TTM revenue / active customer (~\$331, +6.9%); rising as holistic vision (eye exams, insurance/HSA, contacts) deepens the wallet — the offset to slowing customer counts.

Adjusted EBITDA margin — Non-GAAP operating profitability (~12.2%); the swing-factor metric — whether store-led scale lifts it toward high-teens/20% is the whole question.

Android XR / Gemini glasses — Google-partnered AI smart glasses (\$150M committed, launching 2026, not in guidance) — a call-option to compete with Meta-Ray-Ban, upside not base case.

FCF margin — Free cash flow / revenue (~3% FY25); the mature-DCF lever — whether the unit runway and holistic-vision upsell convert thin EBITDA into durable free cash flow.